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On a quiet afternoon at IT services company Happiest Minds' headquarters in Bengaluru, Joseph Anantharaju, 55, appears strikingly unruffled. Dressed in a crisp dim grey suit, the company's Co-Chairman and CEO speaks with an easy smile, radiating a calm that contrasts sharply with the anxiety gripping India's IT sector where investors have been rattled by rapid advances in artificial intelligence (AI) and emergence of coding agents. For an industry valued at over \$300 billion and long hailed as India's global technology backbone, the narrative has turned unusually pessimistic. Clients are reassessing spending, hiring has slowed, and questions around the future of entry-level roles and traditional services delivery are growing louder. If AI agents can write code, manage workflows, and automate support, will the Indian IT model face a structural disruption?

Anantharaju disagrees. Tools branded as "AI co-workers", he argues, remain just that—tools. "There will always be a human in the loop," he says, describing the future as hybrid, where AI accelerates execution but cannot replace the tacit knowledge that enterprises require. In his view, enterprise adoption remains steady and pragmatic, shaped as much by concerns around data privacy,

security, and risk as by the promise of productivity gains. The real shift, he says, is evolutionary—of skills, pricing, and a workforce redesigned around deeper technical expertise. Anantharaju believes the AI moment is a recalibration, with the industry learning to treat it as an ally. Edited excerpts:

Q: There is a lot of buzz around AI tools and concerns they could threaten the Indian IT industry. How do you see this?

A: In my view, even if they are being called "co-workers," the AI agents are still agents. You need somebody to work with that agent. There will always be a human in the loop. I believe we will see a hybrid set-up, whether on the workflow side or the engineering lifecycle side.

"One reason firms haven't hired freshers is not automation—it's uncertainty. Companies don't want to commit to large numbers"

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From an IT perspective, even if you deploy AI agents, you must first understand how a company's business workflow functions and map that accurately. That cannot be automated end-to-end—much of the logic and context resides in people's tacit knowledge. While AI may accelerate application development once this is translated, critical elements such as data collection, system interaction, governance, and integration still need deliberate design and oversight.

The threat narrative is being overplayed. The pace of AI adoption in enterprises is measured. While there is significant discussion globally about potential risks and opportunities, enterprise behaviour reflects an approach focused on efficiency and productivity gains, and addressing customer data protection and security concerns, rather than panic.